



Scott Logic



Environmental Impact Report 2024

This report documents Scott Logic's carbon footprint in 2024, how we are tracking against our targets and what we are doing to reduce our on-going environmental impact.



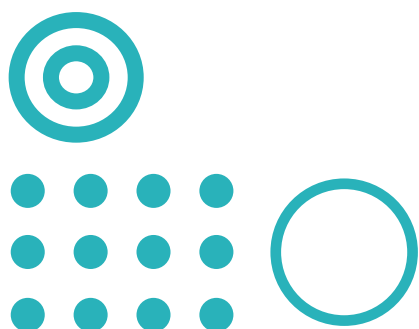
Certified



Corporation

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Overview

Scott Logic is committed to creating sustainable prosperity and safeguarding the future of the natural environment. In living up to that commitment, we aspire not only to mitigate the risk of rising emissions from our own fast-growing business, but also to demonstrate climate leadership amongst our peers, industry and clients by going beyond minimum requirements.

We have aligned Scott Logic with the Paris Agreement goal of limiting global warming to 1.5°C compared to pre-industrial levels, with the intention to accelerate our progress towards Net Zero ahead of 2050. To achieve this, we are focusing both on how we run our business and how we contribute to wider climate action. Both will require technical ingenuity and innovation to ensure that the growth of greenhouse gas (GHG) emissions is decoupled from business growth.

As well as measuring our full operational impact across Scope 1, 2 and 3 emissions in line with the [GHG Protocol](#), we have committed to the following targets:

2025: 100% renewable or low-carbon energy procured across the business

2025: Engage with the top 50% of our supply chain (spend-based) to provide carbon impact measurement

2026: 90% reduction of Scope 1 and 2 baseline emissions

2027: Engage with the top 75% of our supply chain (spend-based) to provide carbon impact measurement

2028: Achieve Carbon Neutrality

2030: 50% reduction of all baseline emissions

2040: Achieve Net Zero



SCIENCE
BASED
TARGETS

DRIVING AMBITIOUS CORPORATE CLIMATE ACTION

Collective action

We believe that collective action to combat the climate crisis is vital, and are taking proactive steps to lead and support the network of businesses committed to these efforts. We are an active member of [Tech Zero](#), a [UN Race To Zero](#) partner climate action group, and are committing to validated [Science Based Targets](#). We will continue to work with our clients, suppliers, employees, neighbours and local communities to share best practice and help each other safeguard the future of the natural environment.



Our carbon footprint in 2024

In the calendar year 2024, our GHG emissions from all business-related activities totalled **530 tCO₂e***

Scope 1 – 0 tCO₂e (0.0%)

No emissions from our direct operations.

Scope 2 – 41 tCO₂e (7.7%)

Emissions from the generation of purchased electricity, heating and cooling that we consume.

Scope 3 – 489 tCO₂e (92.3%)

Emissions from all other indirect sources that occur throughout our value chain.

We removed
600 tonnes

through purchased carbon offset investments in high-quality, **verified** nature-based projects.

1.3 tCO₂e per FTE

The GHG emissions (tCO₂e) per full-time equivalent (FTE) employee is a ratio that allows for a normalised comparison of performance efficiency over time, and has reduced from 1.9 tCO₂e per FTE last year.

Breaking Scope 3 emissions down into more detail:

Purchased Goods & Services

291 tCO₂e (54.9%)

Mainly made up of emissions from SaaS (36%), professional services (30%), sub-contractors (7%), and insurances (6%).

Working from Home & commuting

121 tCO₂e (22.8%)

43% of employees commuted on foot or by bike; 53% by public transport; and, 4% by car.

Business travel

71 tCO₂e (13.4%)

Of which flights constitute 38%; hotels 37%; train travel 20%; and, car 5%.

Fuel & energy related activities

4 tCO₂e (0.8%)

Waste

2 tCO₂e (0.4%)

We consumed **226,110 kWh** of energy

* Tonnes of Carbon Dioxide Equivalent (tCO₂e) is a standardised unit for measuring GHG emissions regardless of which gas the emission refers to.

Greenhouse gas emissions (tCO₂e) by source

		Baseline (2021)	2023	2024
Scope 1	Natural gas	13	-	-
	Company and leased cars	4	-	-
	Total	17	0	0
Scope 2	Heating	28	50	26
	Electricity		18	14
	(Market-based) Total	28	68	41
Scope 3	Purchased goods and services	974	645	291
	Capital goods	318	0	0
	Fuel and energy related activities	0	0	4
	Upstream transportation and distribution	0	0	0
	Waste generated in operations	< 1	9	2
	Business travel	14	149	71
	Employee commuting	163	131	121
	Upstream leased assets	0	0	0
	Downstream emissions	0	0	0
	Other	23	-	-
Total		1,492	934	489
(Market-based) Total		1,519	1,002	530
Normaliser – tCO ₂ e per FTE		3.8	1.9	1.3

How we calculated our footprint

Using the [Plan A Carbon Manager platform](#), we calculated our GHG emissions in accordance with the requirements of the [World Resources Institute \(WRI\) Greenhouse Gas \(GHG\) Protocol \(revised version\)](#), aligning with the expectations of the [Science Based Targets initiative \(SBTi\)](#). Plan A's methodology is audited and certified on an annual basis by [TÜV Rheinland](#).

Following an operational control approach to defining our organisational boundary, our calculated GHG emissions from business activities fall within the reporting period of 1 January 2024 to 31 December 2024.

Technology related emissions (tCO₂e) by source

The [Technology Carbon Standard](#) helps organisations classify and benchmark emissions from their digital technology in line with the GHG Protocol. It bridges the gap between broad sustainability advice and specific sustainability projects in IT, promoting productive discussions among sustainability stakeholders, tech leaders, and technologists.

We are one of an increasing number of organisations mapping, measuring, and improving the environmental impacts of our technology estate using the standard.

	2023	2024	Methodology notes
Upstream (Scope 3)	56	6	
Software	-	-	
Off the shelf and open source software	-	-	Not currently meaningfully calculable or estimable
Hardware	56	6	
Employee devices	55	5	Embodied carbon of purchased laptops and monitors, using production and transportation figures from manufacturers' product lifecycle reports
Networking and infrastructure hardware	< 1	< 1	Loose estimate, based on minimal hardware purchase
Servers and storage hardware	0	0	No servers or storage hardware purchased
Operational	100	115	
Direct (Scope 2)	7	6	
Employee devices (onsite)	5	4	Calculated using UK grid carbon intensity 2024; exact laptop and monitor counts; and, average laptop and monitor power consumption figures
Networking and infrastructure	< 1	< 1	Loose estimate, based on known minimal networking infrastructure
Servers and storage	< 1	< 1	Loose estimate, based on known minimal infrastructure
Generators (Scope 1)	0	0	No generators
Indirect (Scope 3)	93	109	
Employee devices (offsite)	3	2	Calculated using UK grid carbon intensity 2023; exact laptop and monitor counts; and, average laptop and monitor power consumption figures
Cloud services	5	< 1	Full cloud estate measured using Cloud Carbon Footprinting tool
SaaS	84	106	Spend-based estimate calculated using Plan A platform
Managed services	< 1	< 1	Loose estimate, based on known minimal managed services
Downstream (Scope 3)	2	2	
End use (B2B, B2C)	2	2	
End-user devices	< 1	< 1	Calculated based on www website traffic figures
Network data transfer	< 1	< 1	Calculated based on emissions estimate associated with www website and its traffic figures
Total	158	123	tCO₂e



Review of our performance

The following high-level observations can be made about our environmental impact in 2024 compared to previous years:

Overall reduction in emissions and intensity

Our total absolute emissions across the business reduced well ahead of our modelled 2024 reduction requirements to achieve our short- and long-term net zero targets. Our 2024 actuals came out 341 tCO₂e (25.4%) lower than our modelled reduction targets. Correspondingly, the per employee intensity ratio reduced significantly. However, this success is in part due to constraint of headcount and operational growth of the business relative to plan, and a lack of capital goods expenditure (e.g. no office refurbishment projects).

Overall, we have already **reduced our annual emissions by 65% from our 2021 baseline**, and **we have reached >50% emissions reduction across Scope 1, 2 and 3 (targeted for 2030)**.

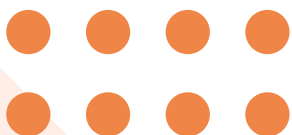
Business Travel emissions growth reversed

We made a big step forward in cutting emissions from business travel this year, undoing the rise we saw in 2023. That's largely thanks to better awareness and understanding across the organisations, as well as a more mindful approach to how discretionary L&D budgets are used – particularly when it comes to international conferences.

Carbon Neutrality and other positive impacts achieved

The combination of our significantly reduced emissions vs plan and increased carbon offset investments vs plan meant we were not just Carbon Neutral (ahead of our 2028 target), but actually Carbon Positive. We also invested in future carbon offsets and net biodiversity gains, further amplifying and diversifying the positive impacts we contributed to.

See the Carbon offset investments, Swinton Nourish Partnership, and Biodiversity investments sections for further detail.





Environmental impact improvements

In the calendar year 2024, we have undertaken the following initiatives to reduce and better understand our emissions and energy use:

Independent energy audit conducted

As part of the government's Energy Savings Opportunity Scheme (ESOS) phase 3, we commissioned a thorough, independent energy assessment of Scott Logic's operations. This included an audit of the energy used by our buildings, industrial processes and transport to identify cost-effective energy saving measures. As part of the assessment, our total energy consumption was independently calculated and reviewed to produce recommendations to save energy.

Small, but impactful, operational improvements

Based on the recommendations of the independent energy audit, we:

- Increased the operating temperature in communications rooms to 25°C, significantly reducing the energy used for air conditioning.
- Fitted equipment to existing refrigeration units to reduce the electrical consumption of refrigeration without compromising the internal temperature.

Energy Policy implemented

We implemented a formal Energy Policy to promote energy-efficient practices across all aspects of our operations; to engage employees, suppliers, and stakeholders in energy-saving initiatives; and, to continuously monitor and improve energy performance through innovation and adherence to best practices.

Curbed discretionary international flights

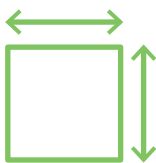
We curbed use of individual L&D budgets for international conferences, significantly reducing discretionary international flights – a significant contributor to Business Travel emissions in 2023.

Carbon offset investments

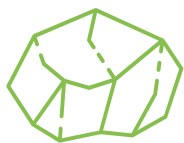
We have committed to ensuring that any investment we make in emission neutralisation will be in schemes that consider biodiversity and communities alongside climate action. We believe our broader social values and ambitions must also be present in our approach to tackling our environmental impact.

In 2024, we purchased carbon offset investments through [Earthly](#) due to their alignment with this intent. Earthly works exclusively with high-quality, verified projects that restore, protect and manage forests, peatlands, mangroves, salt marshes, natural seabeds and other crucial natural ecosystems. They use a multi-layered project assessment framework, building on the [IUCN Global Standard for NBS](#) to ensure projects meet a minimum threshold for impact. Going beyond carbon, they assess the potential to improve biodiversity and tackle relevant social challenges, providing an extra layer of validation for certified projects.

Our 2024 verified carbon offset investments have:



supported a
233,083
sq/m area



removed
600
tonnes of carbon

And contributed to these sustainable development goals:



Specifically, we have supported the following three projects:



Native woodland
restoration in Mozambique



Regenerative farming
in India



Agroforestry
in Kenya

Earthly's partners include:



Swinton Nourish Partnership

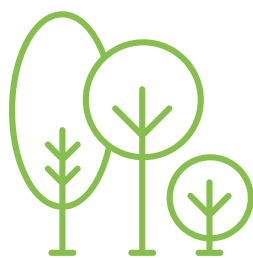
The 20,000 acre [Swinton Estate](#) in the Yorkshire Dales is leading the field in delivering sustainable and natural solutions to climate change. We have become a member of the [Swinton Nourish programme](#), a partnership they have initiated, focused on delivering positive environmental impact. The programme provides businesses with a platform to invest in sustainable solutions to climate change and nature recovery through initiatives such as tree planting and improving soil health.



Sole Beck Woodland Creation

Over 10,000 tonnes of carbon will be sequestered over 70 years with [Swinton Estate's tree planting scheme](#) at this upstream location. The project is the first phase of their woodland creation programme, with 41,500 trees planted to date.

We have committed to purchasing 500 Pending Issuance Units (PIUs) – a kind of promissory note confirming the buyer owns a given amount of the woodland's future carbon capture, formalised by the [Woodland Carbon Code](#) – from Swinton Estate's Sole Beck Woodland Creation project between 2024 and 2028. The transaction is registered and publicly tracked on the [CSX Platform](#) under CSX Register Number SWI001-002, ensuring transparency and verifiability.



This investment is in

500 PIUs

that is, 'promises to deliver' 100 tonnes of CO₂ that will have been sequestered in a Woodland Carbon Code verified woodland

between 2024 and 2028

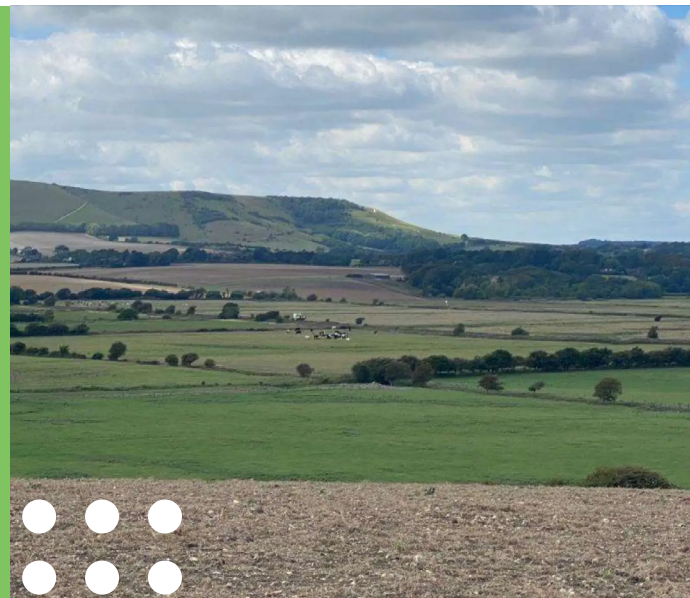
Biodiversity investments

We recognise that our collective environmental impact has created a biodiversity crisis just as much as the climate crisis. While efforts and requirements to safeguard this aspect of the future of the natural environment aren't as widespread or mature, we want to demonstrate leadership amongst our peers, industry and clients by going beyond minimum requirements.

Through [Earthly's voluntary biodiversity credits scheme](#), we have invested to support the high-impact [biodiversity project at Iford Estate](#) in the South Downs National Park. Much like carbon credits, this way we can support off-site projects that are best positioned to protect and restore threatened or degraded habitats and the wildlife within them. A voluntary biodiversity credit represents an area of land within a project where actions being taken – in-line with the government-approved Biodiversity Net Gain methodology – could include: removing invasive species, improving water flow, managing land sustainably, planting trees, and even reintroducing species.

Iford Estate Woodland Creation

This project operates on degraded farmland within the South Downs National Park near Lewes, Sussex, which has become unproductive and in need of regeneration. The project aims to restore the historic broadleaf woodland cover of the area, thus increasing biodiversity, and providing a home for over 1000 species and over 540 protected species in the area.

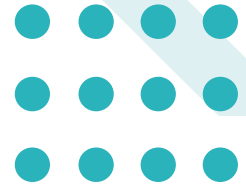


Our 2024 verified biodiversity net gain investments have:

supported a
405
sq/m area

and contributed to these sustainable development goals:





Our road to Net Zero

Science Based Targets

Our intentions align with the international best practice set out by the [Science Based Targets initiative \(SBTi\)](#) in attempting to achieve the Paris Agreement goal of limiting global warming to 1.5°C compared to pre-industrial levels. By being a member of [Tech Zero](#), a [UN Race To Zero](#) partner climate action group, and committing to validated [Science Based Targets](#), we must target, at a minimum, a 50% reduction of our 2021 baseline emissions by 2030, and a 90% reduction by 2050, with residual emissions being removed through high quality carbon removal projects.

Our ambition is stronger. We are focused on accelerating our net zero journey by bringing the target year forward to 2040:

90% reduction of Scope 1 and 2 baseline emissions by 2026

Scopes 1 and 2 emissions are fully within our control, and given the nature of our business, we can target significant reductions relatively quickly.

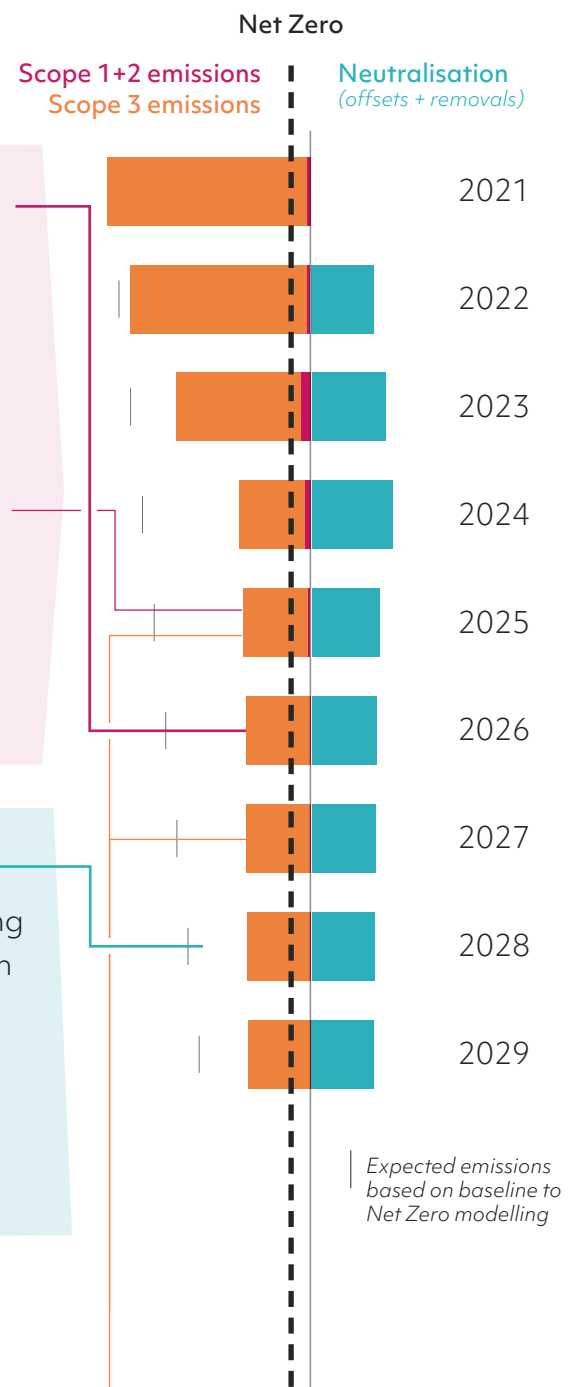
Specifically within that ambition:

100% renewable or low-carbon energy procured across the business by 2025

Our business cannot eliminate its need for electricity, so we are setting out to ensure the electricity we purchase is generated from appropriately considered sources.

Carbon Neutral from 2028

We will steadily grow our emission neutralisation (offsetting and removal) investment towards 100% emissions offset in 2028. This will ensure we explore this nascent space early in our roadmap, so that we develop the understanding and relationships to navigate beyond the hype and invest appropriately in schemes that align with our broader values and ambitions.



50% reduction of all baseline emissions by 2030

By placing appropriate, realistic pressure on ourselves to reduce emissions sooner, we will have a better understanding of the challenge ahead of us sooner, while reducing the compound environmental impact of our emissions.

In order to help achieve this ambition, we will need to:

Engage with the top 50% of our supply chain (spend-based) to provide carbon impact measurement by 2025, and 75% by 2027

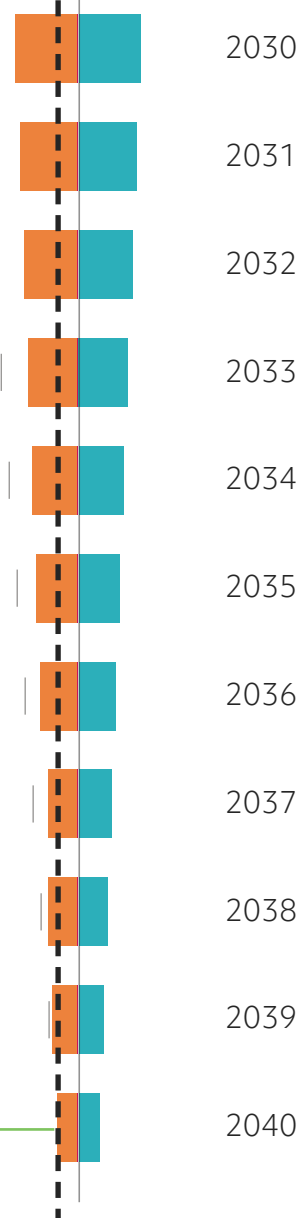
The vast majority of our emissions are Scope 3, and therefore we need to drive significant supplier engagement on this subject to inform our detailed approach to emissions reduction.

Any investment in emission neutralisation will be in schemes that consider biodiversity and communities alongside climate action

We must do our best to ensure we do not approach tackling our environmental impact with blinkers on; our broader social values and ambitions must also be present in our thinking.

Net Zero by 2040

This represents an ambition well ahead of the SBTi Net Zero standard's target of achieving Net Zero by 2050. In practice, this means a 90% reduction of all our 2021 baseline emissions, with residual emissions being removed through high quality carbon removal projects.



Roadmap principles

We have set out the following principles to guide our design of internal policies with environmental sustainability in mind, and to connect any roadmap actions to those policies:

Sustainable by design

Bake sustainability into decision-making and measure business success on environmental impact as well as financials. Ensure clear ownership of carbon ambitions and reduction efforts.

Continual improvement

Measure and monitor our performance, with increasing accuracy. Continually strive to drive performance improvements and align with evolving best practices.

Abatement over neutralisation

Focus efforts on preventing, reducing and eliminating emissions. Consider offsetting and removal investments only as a measure of absolute last resort.

Force for good

Be a responsible service provider and an open exemplar of best practice. Collaborate with suppliers, clients, peers and others in our communities alike.

Anticipated challenges

We recognise that our road to net zero is not a beautifully paved one. We will undoubtedly come across all sorts of obstacles and complexities, and want to be open about them. Here are the key challenges we already see ahead of us:

Predicted business growth

We anticipate rapid and significant year-on-year growth of our business, resulting in escalating headcount, greater procurement spend and expansion into new offices. At the same time, our climate impact commitments are based on absolute emission reductions. Significant effort will be required to decouple emissions growth from business growth.

Evolving best practice and Net Zero inconsistencies

Net Zero is an evolving concept that may be redefined with advancements in climate science. The commitments made to achieve Net Zero may therefore need to be raised or altered as associated frameworks and standards evolve.

Engaging with suppliers

As the majority of our footprint falls within scope 3, we will require a robust supplier engagement process to reduce our emissions. We will need to influence our partners' behaviours to ensure they are seeking to decarbonise at a rate consistent with our own ambitions.

Rebaselining the footprint and targets

There are many examples of times when the rebaselining of our carbon footprint and targets may be required, which is permissible under the SBTi and GHG Protocol guidance, such as: structural changes to the organisational boundary; changes in calculation methodology or significant changes in data quality; and, discovery of error. Furthermore, SBTi criteria require full review and revalidation at a minimum of every five years.

Short term objectives and actions

Throughout the next two years, we will specifically pursue the following areas for improvement, alongside embedding our ambitions opportunistically when appropriate situations arise:

Improve our data quality and measurement

Our self-serve approach means we are able to measure and monitor our carbon footprint on an on-going basis. This is helping us better evaluate data quality and understand the underlying drivers of our emissions, in order to more precisely guide our decarbonisation efforts. We need to work more closely with more suppliers, particularly those making up Purchased Goods And Services emissions, to collect service- and product-specific emissions rather than relying on spend-based estimation, and more clearly align those emissions to business functions.

Formalise our supplier expectations

We have established our sustainability ambitions in internal communications and we are incorporating sustainability considerations into screening and decision-making processes. We have further work to embed these fully into strategic thinking as well as tactical decisions. We are beginning to establish bi-directional expectations with suppliers, aiming to guide effective ways for both sides of the relationship to progress and appropriately share any burden.

Systemise our approach to environmental management

While we've already adopted a number of positive practices and policies around energy use and our broader environmental impact, these aren't yet fully embedded across the whole organisation in a consistent and assured way. To address this, we're committing to formalising our environmental management systems (EMS) and will seek independent ISO 14001 certification to validate the strength and effectiveness of our approach.

Refine our approach to business travel

We will formally embed sustainability considerations into travel, from minimising travel and moving away from a "cheapest and quickest" default, to incentivising lower carbon transport and improving how we track the activities associated with travel emissions.

Educate ourselves and help each other

Environmental sustainability is a complex, evolving space that we are all beginning to grapple with in our personal lives as well as the business world. We will continue to explore best practice in all settings, raise awareness, share findings and thoughts, and find practical ways to support our employees, clients, suppliers, and our communities.

Want to engage with us around sustainability or environmental impact?

We're always keen to share experiences and ideas, and know that we have much to learn from each other in this space. If you'd like to discuss anything related, we're always happy to chat.

Please contact Graham Odds on:

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